

Life Insurance Company of the Southwest



Living Benefits

A Key to Life Insurance



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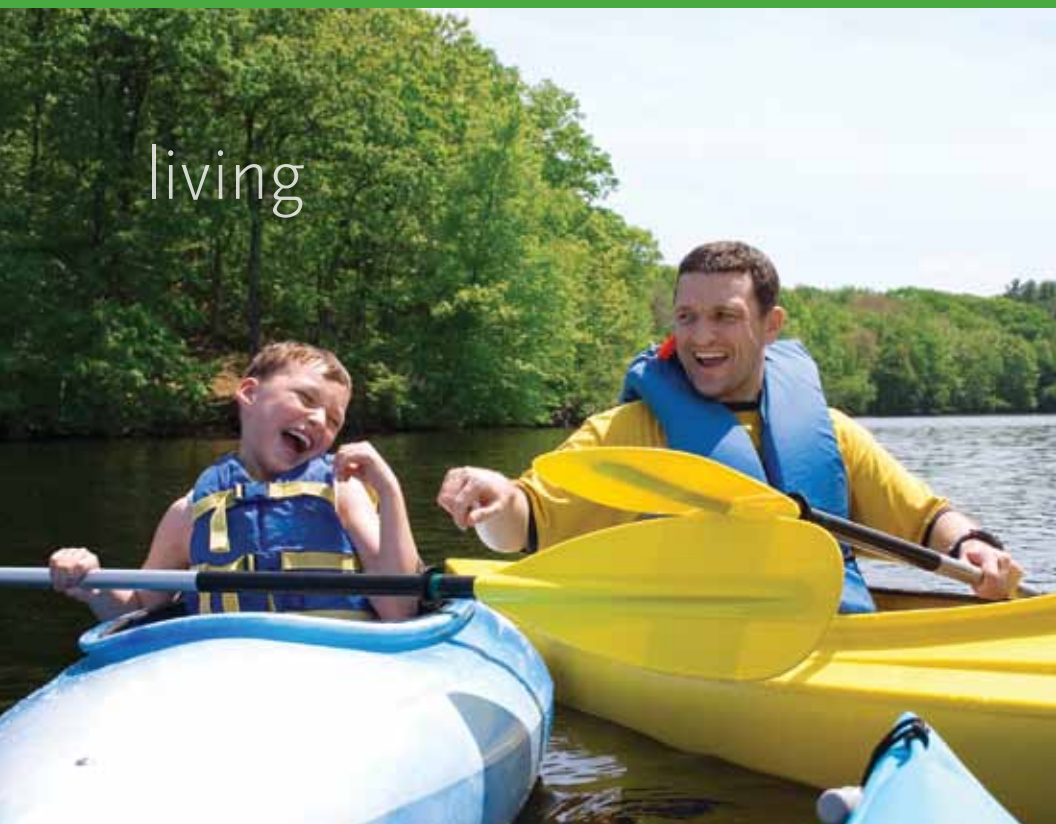
Experience Life[®]

Plan today. Protect tomorrow.

Life insurance is a powerful financial tool that can be used to meet many needs. Most commonly, life insurance is used to provide a death benefit to help secure your family's financial future when you are gone.

How do you protect against
an unforeseen illness?

living

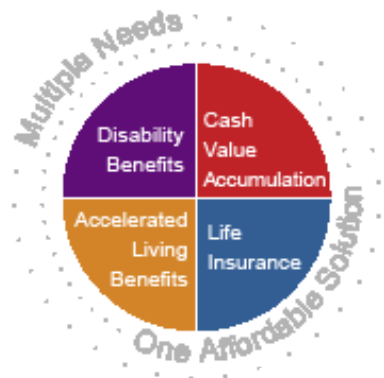


Consider the following:

- About every 26 seconds, an American will suffer a coronary event, and about every minute someone will die from one. (*American Heart Association, American Stroke Association, Heart Disease and Stroke Statistics, 2008 update*)
- On average, every 40 seconds someone in the United States has a stroke. (*American Heart Association, American Stroke Association, Heart Disease and Stroke Statistics, 2008 update*)
- At age 65, the odds are nearly one in two that you will require nursing home services for at least 2.5 years. (*Medicare, US Dept. of Health and Human Services, 2007*)

At Life Insurance Company of the Southwest (LSW), we believe you should get more from a life insurance policy. We think you should have access to benefits you can use, while you are living.

The future is unpredictable...
are you and your family prepared?



Do you have Living Benefits?



Nicholas, a husband and father of two, suffers a severe heart attack at the age of 54. He uses his critical illness rider (Accelerated Benefit Rider 3). He is able to use this money to cover his medical expenses, and pay off his family's mortgage.¹

Juan and Maria are parents of Antonio, a freshmen entering college. Through policy loans and withdrawals, they are able to access their policy's accumulated value to offset his tuition payments.²



¹ Receipt of accelerated benefits will reduce the policy's death benefit and cash value and may result in a taxable event. There are no restrictions on how the benefit received is used. Accelerated benefit riders are available at no additional cost.

² Loans and withdrawals will reduce the policy's Cash Value and Death Benefit and may result in a taxable event. Surrender charges may reduce the policy's cash value in early years.



Sophie, at age 79, becomes chronically ill and enters a nursing home. She decides to use 2% of her death benefit each month, available to her through the chronic illness rider (Accelerated Benefit Rider 2), to help pay for her nursing home stay and other medical expenses.¹

Isaac's doctor has told him he has less than two years to live. Using the terminal illness rider (Accelerated Benefit Rider 1), he chooses to access his full death benefit to enjoy life to the fullest during his last two years.¹



Life events such as these can happen to you at anytime, most without warning. With your policy, you decide how and when to use its benefits. LSW policies offer more than just a death benefit, they **help insure your life**.

You should have access to benefits you can use, *while you are living.*

We feel LSW's Living Benefits provide a combined solution that you can afford to have, but cannot afford to be without. This combination of benefits can help protect your plans for today and tomorrow. We call it:

“ life insurance you don't have to die to use.”



living



Q:

What does *“life insurance you don’t have to die to use”* mean to me?

A:

You can access your policy’s benefits while you are still living. Your benefits may include coverage in case of a:

- Chronic Illness
- Terminal Illness
- Critical Illness
- Disability

You also have access to your policy’s cash value for events such as education, a down payment on a house, or retirement.



living

LSW offers a comprehensive package of options, commonly referred to as riders, that may be added to your life insurance policy. These riders give you the flexibility to customize your policy, based on your needs. Some are available at no additional premium.

Our rider* portfolio includes the following:

- Accelerated Benefits Rider¹ (Terminal Illness)
- Accelerated Benefits Rider² (Chronic Illness)
- Accelerated Benefits Rider³ (Critical Illness)
- Disability Income Rider
- Waiver of Specified Premium Rider
- Other Insured Rider
- Overloan Protection Rider
- Guaranteed Insurability Rider
- Children's Term Rider
- Accidental Death Benefit Rider
- Unemployment Rider



Plan today.
Protect tomorrow.

*All riders except for the Accelerated Benefits and Unemployment Riders require an additional premium. Riders are optional and may not be available in all states or on all products.

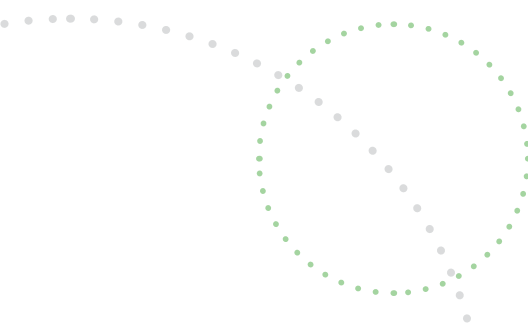
Following are details about some of our most popular riders:

Accelerated Benefits Rider 1 (ABR1)**
Provides benefits in case of terminal illness

ABR1 gives you the option of receiving your death benefit early if a person covered under the policy is terminally ill. For purposes of this rider, terminal illness means that a doctor has certified that the insured's death is expected within two years, one year in VT and PA. If this situation exists, you may:

- Request the full acceleration, on a discounted basis, of the policy's death benefit and use the lump-sum as you wish,
- Choose to leave a portion of the policy's death benefit intact for your beneficiary, or
- Leave the entire policy intact for your beneficiary.

ABR1 is available at no additional premium and is intended to qualify for favorable tax treatment. ABR1 benefits may be used for any purpose.



The Accelerated Benefits offered under ABR1, ABR2 and ABR3 are intended to qualify for favorable tax treatment under the Internal Revenue Code of 1986. Whether such benefits qualify depends on factors such as your life expectancy at the time benefits are accelerated or whether you use the benefits to pay for necessary long-term care expenses, such as nursing home care. If the acceleration-of-life-insurance benefits qualify for favorable tax treatment, the benefits will be excludable from your income and not subject to federal income taxation. Tax laws relating to acceleration-of-life-insurance benefits are complex. You are advised to consult with a qualified tax advisor about circumstances under which you could receive acceleration-of-life-insurance benefits excludable from income under federal law.

Receipt of accelerated life-insurance benefits may affect you, your spouse or your family's eligibility for public assistance programs such as medical supplementary Social Security Income (SSI), and drug assistance programs. You are advised to consult with a qualified tax advisor and with social service agencies concerning how receipt of such a payment will affect you, your spouse and your family's eligibility for public assistance.

Accelerated Benefits Rider 2 (ABR2) *Provides benefits in case of chronic illness*

ABR2 gives you the option of receiving your death benefit early if a person covered under the policy is chronically ill. For purposes of this rider, chronic illness means that a doctor has certified that the insured is either unable to perform two of the six daily activities of living without assistance (bathing, continence, dressing, eating, toileting, and transferring) or is cognitively impaired (deterioration or loss in intellectual capacity). Benefits are available after the rider is in force for two years.* If a chronic illness exists and after a 90-day waiting period, you may:

- Request to accelerate up to 2% of the death benefit each month to use as you wish, or
- Leave the policy intact for your beneficiary.

ABR2 is available at no additional premium and is intended to qualify for favorable tax treatment. ABR2 benefits may be used for any purpose.



* Some states may have a different time requirement before benefits are available. It's important to determine what your state specific requirements are.

**Death Benefits, cash values and loan values (for policies with such values) will be reduced if an Accelerated Benefit is paid.

Accelerated Benefits Rider 3 (ABR3)

Provides benefits in case of critical illness

ABR3 gives you the option of receiving your death benefit early if a person covered under the policy is critically ill. For purposes of this rider, critical illness is defined as a heart attack, stroke, cancer, a major organ transplant, blindness, or having been diagnosed with Lou Gehrig's disease (ALS) or end stage renal failure. If one of these illnesses exist, you may:

- Request the full acceleration of the policy's death benefit and use the lump-sum as you wish,
- Choose to leave a portion of the policy's death benefit intact for your beneficiary, or
- Leave the entire policy intact for your beneficiary.

With ABR3, the level of discounting applied to the death benefit varies depending upon the insured's age and the severity of the critical illness.

ABR3 is available at no additional premium and is intended to qualify for favorable tax treatment. ABR3 benefits may be used for any purpose.

Remember, if you choose to use your death benefit early, the actual ABR payment you receive will be less than the death benefit you accelerate. Benefits used under any Accelerated Benefits Rider will reduce the policy's cash value, death benefit and loan values.

Death Benefits, cash values and loan values (for policies with such values) will be reduced if an Accelerated Benefit is paid.

The Accelerated Benefits offered under these ABR1, ABR2, and ABR3 are intended to qualify for favorable tax treatment under the Internal Revenue Code of 1986. Whether such benefits qualify depends on factors such as your life expectancy at the time benefits are accelerated or whether you use the benefits to pay for necessary long-term care expenses, such as nursing home care. If the acceleration-of-life-insurance benefits qualify for favorable tax treatment, the benefits will be excludable from your income and not subject to federal income taxation. Tax laws relating to acceleration-of-life-insurance benefits are complex. You are advised to consult with a qualified tax advisor about circumstances under which you could receive acceleration-of-life-insurance benefits excludable from income under federal law.

Receipt of accelerated life-insurance benefits may affect you, your spouse or your family's eligibility for public assistance programs such as medical supplementary Social Security Income (SSI), and drug assistance programs. You are advised to consult with a qualified tax advisor and with social service agencies concerning how receipt of such a payment will affect you, your spouse and your family's eligibility for public assistance.

Chronic Illness is not available in all states. Critical Illness is not available in all states. We currently limit the amount of death benefit that may be accelerated under all accelerated benefit riders applying to the same insured to \$1,000,000. We reserve the right to change this limit in the future, however the limit will never be less than \$500,000.



living

National Life Group

National Life Insurance Company, was founded in 1848. Life Insurance Company of the Southwest was incorporated in 1955. Our commitment to our customers is our steadfast and primary responsibility, while our joint commitment to financial strength and profitable growth helps to ensure we can deliver on our promises to our customers.

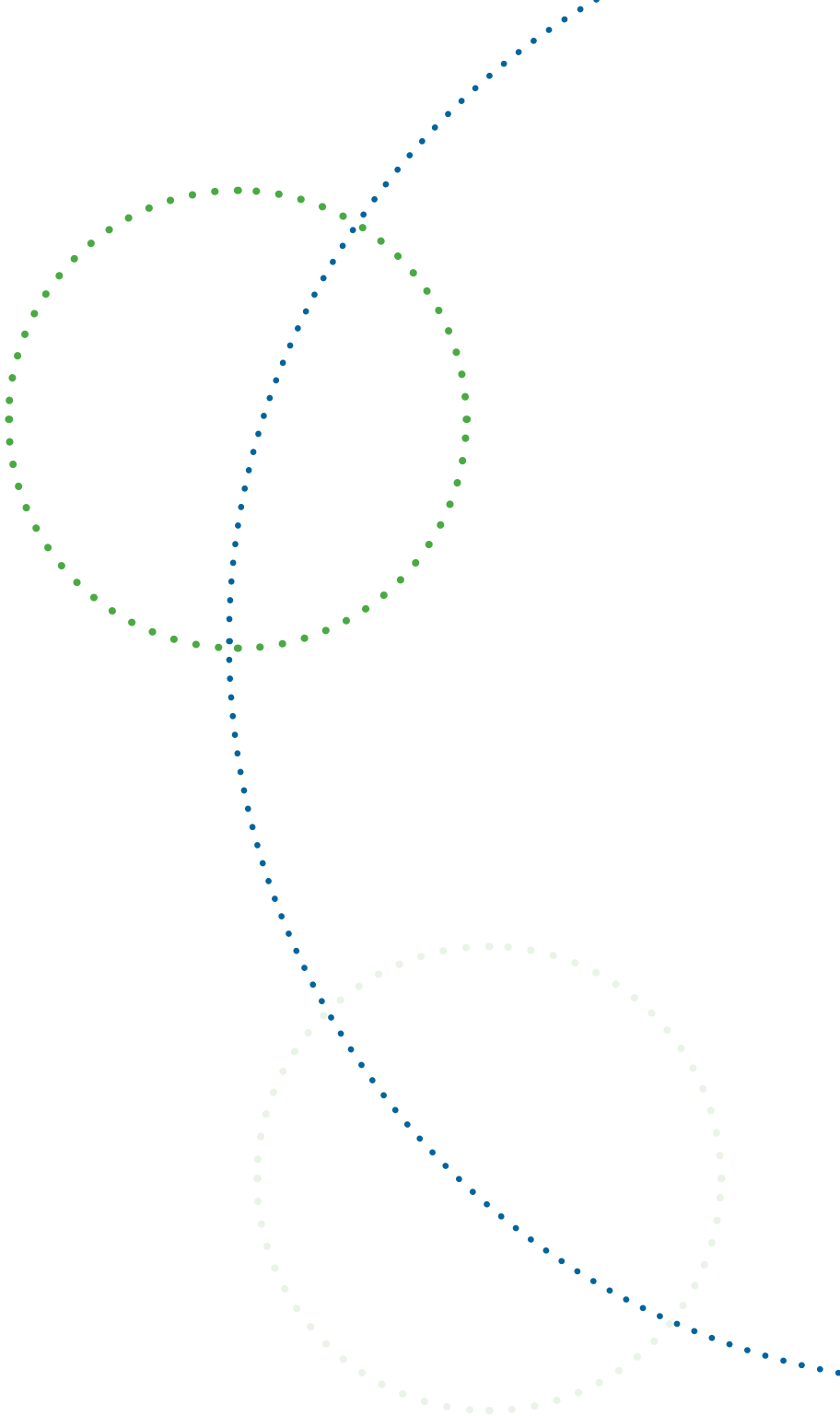
National Life Group is a Fortune 1000 Company that serves more than 850,000 customers and employs roughly 900 employees.

The Group is made up of its flagship company, National Life Insurance Company, as well as Life Insurance Company of the Southwest, Sentinel Investments, Equity Services, Inc., and National Retirement Plan Advisors.



National Life Group is a trade name representing National Life Insurance Company, Montpelier, VT and its affiliates. Life Insurance Company of the Southwest, Dallas, TX, is licensed in all states except NY. Each company is solely responsible for its own financial condition and contractual obligations.

Sentinel Investments® is the unifying brand name for Sentinel Financial Services Company, Sentinel Asset Management, Inc., and Sentinel Administrative Services, Inc. Sentinel Financial Services Company and Equity Services, Inc. are Registered Broker/Dealer Affiliates of National Life Insurance Company, One National Life Drive, Montpelier, Vermont 05604 (802) 229-3900. National Retirement Plan Advisors offers the benefit of more than 65 years of experience in providing comprehensive retirement plans, administration and services.





The riders referenced in this brochure are optional, are available at additional cost unless otherwise indicated, and may not be available in all states or on all products. Benefits and terms may vary by state. Riders are available on LSW Harbor and LSW Horizon universal life insurance policies, form series 8514/8515/8514ID(0707)/8515ID(0707), and various other permanent and term life insurance policies issued and underwritten by Life Insurance Company of the Southwest.

Following are the form series numbers for the LSW Life Insurance Riders referenced in this brochure: Terminal Illness Rider (ABR1), form series 8052(0798), not available in MT and ND; Chronic Illness Rider (ABR2), form series 8095(0399), not available in CT, KS, LA, MN, MT, ND, OR, WA; Critical Illness Rider (ABR3), form series 8165(0703), not available in CT, MA, MT, NJ, ND; Disability Income Rider, form series 8054(0798), 8065(0798), not available in KS, MA, MT, NJ, ND; Waiver of Specified Premium Rider, form series 8520(0707); Other Insured Rider, form series 8057(0707); Overloan Protection Rider, form series 8542(0707); Guaranteed Insurability Rider, form series 8051(0798), not available in MA, MT, ND; Children's Term Rider, form series 8056(0707); Accidental Death Benefit Rider, form series 8050(0798), not available MT, ND; Unemployment Rider 8058(0798), not available in AZ, CA, FL, MA, MD, MI, MN, MO, MT, ND, NJ, SC, TN, VA, VT, WA.

For costs and complete details of the coverage, write or call your agent or company. None of the information in this piece is intended as tax or legal advice. Please consult with your Attorney or Accountant prior to acting upon any of the information contained herein.

This is a solicitation of insurance. An insurance agent may contact you.

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NationalLife.com